

25STCV21977 25STCV21977

County: los-angeles

Division: Civil Law and Motion

Department: 734

Hearing date: 2026-07-17

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Case Number: 25STCV21977 Hearing Date: July 17, 2026 Dept: 734

The

following tentative ruling is issued pursuant to Rule of Court 3.1308 at 2:22 PM on July 16, 2026.

Rule

of Court 3.1308(a)(1) provides that a “tentative ruling will become the ruling of the court if the court has not directed oral argument by its tentative ruling and notice of intent to appear has not been given.”

The

Court does not desire oral argument on the motion addressed herein. Notice of intent to appear is REQUIRED pursuant to California Rule of Court 3.1308(a)(1).

No

later than 4:00 p.m. on July 16, 2026, the moving and opposing parties must provide notice to ALL OTHER PARTIES and the staff of Department 734 whether the party intends to (1) appear and argue the motion, or (2) submit to the tentative ruling.

Notice to Department 734 should be sent by

email to , with opposing parties copied on the email. The high volume of telephone calls to Department 734 may delay the Court's receipt of notice, so telephonic notice to 213-830-0776 should be reserved for situations where parties are unable to give notice by email.

Plaintiffs

allege that Defendants made secured loans for Plaintiffs to purchase real property. However, the loans fell into default, which triggered a 27% interest rate, and Defendant foreclosed. Plaintiffs seek to cancel the loans because the true default interest rate was concealed.

Plaintiffs

move for leave to record a notice of pending action.

TENTATIVE RULING

Plaintiffs

Murrieta Holdings 2012-12 LLC and Zoe Epstein's motion for leave to file a lis pendens based upon the First Amended Complaint is GRANTED.

If Defendants so desire, the Court will allow a specially set hearing for a motion to expunge lis pendens or require an undertaking (Code Civ. Proc. § 405.34) on August 27, 2026^[1] at 8:30, with briefing pursuant to code relative to that date. In the event Defendants file such a motion, Plaintiffs are put on notice that they may be required to post an undertaking or tender the full amount of the loan proceeds they received, exclusive of interest.

ANALYSIS

Motion For Leave To File Notice of Pending Action

Request For Judicial Notice

Defendants request

that the Court take judicial notice of the following:

1. The Deed of Trust Assignment of Rents and Security Agreement dated December 13, 2019, regarding the loan by Galloway and Erik Rist, as Trustee of the Joshua Hawkesby Exempt Trust created under the Miller Intervivos Trust Dated 12/06/2006 ("Rist as Trustee") in the amount of \$425,000 to Murrieta Holdings 2012-12 LLC ("Murrieta") and secured by the real property commonly known as 24370 Adams Avenue, Murrieta, CA 92562, APN 906-060-039-3 and 906-060-041-4 (the "Property") (the "First Loan") and recorded on December 20, 2019, in the Official Records, Riverside County, as Document No. 2019-0528571.

2. The Deed of Trust Assignment of Rents and Security Agreement dated March 2, 2020, regarding the loan by Galloway in the amount of \$250,000 to and secured by the Property (the "Second Loan") and recorded on March 20, 2020, in the Official Records, Riverside County, as Document No. 2020-0111727.

3. The Substitution of Trustee regarding the Deed of Trust concerning the First Loan dated May 21, 2021, and recorded on June 1, 2021, in the Official Records, Riverside County, as Document No. 2021-0333318.
4. Regarding the First Loan, a Notice of Default and Election to Sell Under Deed of Trust date May 21, 2021, and that was recorded on June 1, 2021, the Official Records, Riverside County, as Document No. 2021-0333319.
5. The Substitution of Trustee regarding the Deed of Trust concerning the Second Loan dated May 21, 2021, and recorded on June 4, 2021, in the Official Records, Riverside County, as Document No. 2021-0342299.
6. Regarding the Second Loan, a Notice of Default and Election to Sell Under Deed of Trust date May 21, 2021, and that was recorded on June 4, 2021, in the Official Records, Riverside County, as Document No. 2021-0342300.
7. The Complaint filed on October 1, 2021, by plaintiffs Mountain Vista Holdings, LLC and Murrieta against Defendants Galloway and Rist as Trustee, San Diego County Superior Court Case No. 37-2021-00042025 (the "San Diego Action").
8. The October 6, 2021, denial by the Court in the San Diego Action of the Ex Parte Application for A Temporary Restraining Order and Order to Show Cause re Issuance of a Preliminary Injunction by plaintiffs Mountain Vista Holdings, LLC and Murrieta.
9. On October 6, 2021, Murrieta filed a Petition for Chapter 11 Bankruptcy (United States Bankruptcy Court, Central District of California, Case No. 8:21-bk-12430) (the "First Bankruptcy Case").
10. On August 8, 2022, the Bankruptcy Court entered an Order Granting the United States Trustee's Motion to Dismiss the First Bankruptcy Case.
11. The Dismissal With Prejudice of the San Diego Action filed on November 7, 2022.
12. On October 4, 2023, Murrieta filed a Petition for Chapter 11 Bankruptcy (United States Bankruptcy Court, Central District of California, Case No. 8:23-bk-12045) (the "Second Bankruptcy Case").

13. On September 30, 2024, the Bankruptcy Court concerning the Second Bankruptcy Case entered an Order Granting Galloway relief from the automatic stay.

14. The Deed of Trust Assignment of Rents and Security Agreement dated September 26, 2022, regarding the loan by Galloway in the amount of \$115,000 to and secured by the Property (the "Third Loan") and recorded on October 4, 2022, in the Official Records, Riverside County, as Document No. 2022-0417045.

15. The Substitution of Trustee regarding the Deed of Trust concerning the Second Loan dated October 28, 2024, and recorded on November 19, 2024, in the Official Records, Riverside County, as Document No. 2024-0355376.

16. The Notice of Trustee's Sale regarding the Deed of Trust concerning the Second Loan dated December 12, 2024, and recorded on December 16, 2024, in the Official Records, Riverside County, as Document No. 2024-0382093.

17. The Assignment by Rist as Trustee to Galloway regarding the Deed of Trust concerning the First Loan dated January 16, 2025, and recorded on February 25, 2025, in the Official Records, Riverside County, as Document No. 2025-0055387.

18. On January 16, 2025, Murrieta filed a Petition for Chapter 11 Bankruptcy (United States Bankruptcy Court, Central District of California, Case No. 8:25-bk-10130) (the "Third Bankruptcy Case").

19. On February 27, 2025, the Bankruptcy Court concerning the Third Bankruptcy Case entered an Order granting Galloway relief from the automatic stay.

20. On April 4, 2025, the Bankruptcy Court dismissed the Third Bankruptcy Case.

21. The Trustee's Deed Upon Sale concerning the March 5, 2025 sale of the Property to Galloway pursuant to foreclosure of the Deed of Trust concerning the Second Loan, with said Trustee's Deed Upon Sale recorded on March 24, 2025 in the Official Records, Riverside County, as Document No. 2025-0087415.

22. The Complaint filed in this action on July 5, 2025.

23. The Notice of Pending Action (CCP §405.20) concerning this

action recorded on July 29, 2025, in the Official Records, Riverside County, as Instrument No. 2025-0230390.

24. The First Amended Complaint filed in this action on September 16, 2025.

25. The Verification of First Amended Complaint filed in this action on September 18, 2025.

26. Minute Order in this action dated September 29, 2025.

27. The Order Granting Motion to Expunge Lis Pendens And Request for Attorney's Fees filed in this action on September 29, 2025.

28. The Notice of Pending Action (Code Civ. Proc. § 405.21) concerning this action recorded on October 9, 2025, in the Official Records, Riverside County, as Instrument No. 2025 0310096.

29. The Minute Order in this action dated October 23, 2025.

30. The Declaration of Bonnie Brunet in Support of Defendant Galloway Financial, LLC's Motion for Sanctions and Dismissal Under C.C.P. Section 128.7 filed in this action on November 21, 2025.

31. The Declaration of Martin Rist in Support of Defendant Galloway Financial, LLC's Motion for Sanctions and Dismissal Under C.C.P. Section 128.7 filed in this action on November 21, 2025.

32. The Minute Order in this action dated December 17, 2025.

33. The Minute Order in this action dated February 20, 2026.

34. The Minute Order in this action dated March 20, 2026.

35. The Notice of Rulings and of Setting of Future Hearings, Including Trial filed in this action on April 21, 2026 (including April 20, 2026 Minute Order attached thereto).

36. The Minute Order in this action dated April 24, 2026 and Clerk's Certificate of Service by Electronic Service.

37. The Minute Order in this action dated May 1, 2026, and Clerk's Certificate of Service by Electronic Service.

38. That Ester Perez is a broker licensed by the State of California Department of Real Estate, License ID 01383549 and has a Mortgage Loan Originator License Endorsement NMLS ID: 320792.

39. That Joseph Perez is a salesperson licensed by the State of California Department of Real Estate, License ID 01776728 and that his responsible broker is Ester Perez.

Requests Nos

1 – 6, 14 – 17, 21, 23 and 28 are GRANTED.

The Court may take judicial notice of recorded documents. (Evans v. California Trailer Court, Inc. (1994) 28 Cal.App.4th 540, 549, overruled on other grounds in Black Sky Capital, LLC v. Cobb (2019) 7 Cal.5th 156, 165; Alfaro v. Community Housing Improvement System & Planning Assn., Inc. (2009) 171 Cal.App.4th 263, 274).

Requests Nos.

7 – 13, 18 – 20, 22, 24 – 27, 29 – 37 are GRANTED per Evid. Code § 452(d)(court records).

Requests Nos. 38 and 39 are GRANTED.

Pursuant to Evid. Code § 452(c), the Court may take judicial notice of official records of an administrative agency. (Ordlock v. Franchise Tax Bd. (2006) 38 Cal.4th 897, 912.

Discussion

Plaintiffs Murrieta Holdings 2012-12

LLC and Zoe Epstein as Successor In Interest for David G. Epstein move for leave to file notice of pending action pursuant to Code Civ. Proc. § 405.36, which provides:

Once a notice of pending action has been expunged, the claimant may not record another notice of pending action as to the affected property without leave of the court in which the action is pending.

(Code Civ. Proc. § 405.36.)

In this action, the Complaint was filed
on July 25, 2025.

On August 25, 2025, Defendant Galloway
Financial, LLC filed a motion to expunge lis pendens.

On September 16, 2025, Plaintiff filed
a First Amended Complaint. However, the Court expressly analyzed the motion to expunge
lis pendens relative to the allegations in the Complaint, as the “pleading on which
the notice is based.” (Code Civ. Proc. § 405.31)

On September
29, 2025, the Court ordered the lis pendens expunged.

On October
9, 2025[2], Plaintiff
recorded a second lis pendens without leave of court. On October 15, 2025, Plaintiff
filed a notice of pending action with the Court.

The Court
denied Plaintiffs’ subsequent motion for leave to record a lis pendens nunc pro
tunc, and ordered the Notice of Pending Action filed with the Court on October 15,
2025 stricken and the Notice of Pending Action recorded on October 9, 2025 was ordered
expunged.

In light of
the foregoing, the Court did not analyze the propriety of the notice of pending
action relative to the allegations of the First Amended Complaint.

Nothing in
Code Civ. Proc. § 405.36 requires that the claimant make a showing that would be
required to defeat a motion to expunge. In
this regard, Plaintiff, as the moving claimant, did not fully address the standards
governing motions to expunge set forth in Civ. Proc. Code § 405.32, i.e., probable
validity of the real property claim, as to each real property claim asserted in
the First Amended Complaint.

In this regard,
the Court finds the best course of action to afford full due process and a complete record, is to allow Plaintiff to record the notice of pending action based upon the First Amended Complaint, and allow Defendants to file a separate motion to expunge lis pendens,[3] or
for an order requiring Plaintiffs to post an undertaking pursuant to Code of Civil Procedure section 405.34.

The motion
for leave to file a lis pendens based upon the First Amended Complaint is GRANTED.
If Defendants so desire, the Court will allow
them to specially set a hearing on a motion to expunge lis pendens or require an undertaking (Code Civ. Proc. § 405.34) for August 27, 2026 at 8:30, with briefing pursuant to code relative to that date. In
the event Defendants file such a motion, Plaintiffs are put on notice that they may be required to post an undertaking or tender the full amount of the loan proceeds they received, exclusive of interest.

[1] The
Court notes that Defendant Galloway Financial LLC has a motion for leave to file a First Amended Answer set for August 27, 2026. If all parties submit on this tentative ruling, Defendants may if desired use CRS to reserve a hearing for a motion to expunge/motion for undertaking on any date, then before filing the moving papers, contact the staff in Department 734 to ensure the appropriate rescheduling of the hearing.

[2] The
Notice of Lis Pendens filed with the Court does not reflect the October 9, 2025 recordation date, but Defendant indicates at Page 2:14 of the Opposition that this is the date of recordation. See also Opp. RJN, Exh. 2 (Exh. J—Notice of Pending Action/Lis Pendens recorded by Plaintiffs Murrieta Holdings 2012-12LLC and David G. Epstein on October 9, 2025 in the Riverside County Recorder's Office, Document No. 2025-0310096, for Riverside Superior Court, Case No. 25STCV21977.)

[3] While Defendants did address the arguments which
would be presented in a motion to expunge, Plaintiff was only given a reply brief's page limit to address such arguments. Because Code Civ. Proc. § 405.36 does not require a Plaintiff to satisfy the "probable validity" standard set forth in Civ. Proc. Code, § 405.32, Plaintiff was not required to fully address "probable validity" in this motion for leave.